

Economics 624: Public Economics

Rutgers University
Department of Economics

Syllabus Spring 2024

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Office Hours: By appointment

Lectures: Tuesdays and Thursdays 2pm to 3.20pm at Murray Hall 114

Website: <https://rutgers.instructure.com/courses/268740>

Course Description: This course covers several applied topics in the field of public economics such as social insurance and redistribution. It is designed to provide a working knowledge of modern theoretical and empirical techniques for policy analysis. The aim of the course is to help students develop the skills to think critically about the economics underlying public policies, to identify and answer research questions, and to analyze microeconomic issues empirically.

Course Objectives and Learning Goals: This course is designed to help students achieve two of the stated learning goals of the graduate program in Economics: 1) attain marked ability, scholarship, research, and leadership skills in economics with specialization in sub-disciplines; and 2) engage in and conduct research. These learning goals apply to both doctoral and masters students.

The specific learning goals for the course are:

- Provide students with a solid working knowledge of the current research in social insurance and redistribution
- Expose students to a wide-range of data sources and empirical techniques
- Teach students how to give research presentations
- Help students develop research proposals that may be used for second year papers or masters' theses

Background: To develop a good overview of the public economics field, students should have established a solid mastery of an advanced undergraduate text. Jonathan Gruber, *Public Finance and Public Policy*, 5th edition, Worth Publishers, is highly recommended.

Students should have read through it by the end of the semester. Another undergraduate text that is also recommended is Harvey S. Rosen and Ted Gayer, *Public Finance*, 10th edition, McGraw-Hill Publishers.

Course Evaluation:

- **Active participation (20%):**
 - Presentation of one paper marked with a ‘†’ sign from the reading list (10%)
 - Attendance and participation in class discussions (10%)
- **Referee report (15%)**
- **One problem set (15%)**
- **Paper replication and extension (20%)**
- **Research Proposal (30%):**
 - Presentation (last three classes of the semester) (5%)
 - Two page pre-proposal (5%)
 - Written proposal (20%)

Active Participation:

Students are expected to attend all class meetings and actively participate in class discussions by asking and answering questions. Students are expected to come to each class having done any announced readings and being prepared to participate.

Each student will be required to present one of the papers marked with a ‘†’ sign from the reading list. These presentations should be in the style of a 12-minute ‘conference presentation’ aimed at promoting further discussion of the paper. They should include the following:

- A clear statement of the research question and the motivation for studying it
- A discussion of the empirical methodology and data used
- The highlights of the empirical results
- A statement of the authors’ conclusions

Student will submit their chosen paper by Tuesday, January 30th via e-mail to Prof. Blanco. Each student should choose 5 papers and rank in the sequence of preference. Prof. Blanco will announce the final schedule on Tuesday, February 6th.

Referee Report: This assignment is aimed at developing a critical and constructive approach to evaluating research by reading, summarizing, and reacting to working paper in the field of public economics.

Instructions for the referee report will be posted on Canvas. This referee report can be turned in **anytime** during the semester, but no later than the last day of class (Tuesday, April 25th by 8pm) by uploading it to the appropriate assignment on Canvas.

Problem Set: There will be one problem set assigned.

Paper Replication:

Students will find code to replicate an empirical paper. Most papers published in AEA journals (e.g., AER, AEJ: Policy) have recently been required to publish data and replication files. For example, see Prof. Bastian's paper [here](#) (you should pick a different paper, though). You will try to replicate the main results in the paper, then you will modify or extend the results. For example, you might try a different specification (e.g., OLS, probit, logit) or different sets of controls, or looking for outliers and dropping them, or trying a less-parametric approach, etc. This is something I expect you to talk with me about for feedback.

Research Proposal:

Students will be required to develop a research proposal. Students may choose any topic in public economics, even those not explicitly covered in the course. However, all students are encouraged to consult with me in choosing topics.

The paper will have the form of a research proposal in public economics, such as one might submit as a grant request to a funding agency. The paper should 1) state the research question clearly, 2) explain how the question relates to other, resolved, questions and how it is different, 3) defend why the question is important enough to warrant attention, 4) review the existing literature on the topic, 5) sketch out a model that will allow you to answer the question, 6) identify what are likely to be the important theoretical and empirical problems to be overcome, 7) describe the data that could be used for analysis, and 8) conclude.

Some questions to include in the review of existing literature include:

- What questions have been addressed by other scholars and how do they relate to the proposed research?
- What are the problems or limitations of the previous research?
- What key questions are still unanswered?
- How will the proposed project contribute to the existing literature?

A two-page pre-proposal will be due on Monday, March 25. The pre-proposal should briefly describe the research question (first page) and list articles that you intend to use as references (second page). The final research proposal will be due on Tuesday, April 30th at 8pm.

Reading List

Where possible links are provided, but you should already be, or quickly become, familiar with how to find scholarly articles online.

Tip: add .proxy.libraries.rutgers.edu to a link to a journal article in order to log-in to your Rutgers account and read the article off-campus., i.e.,

<http://www.sciencedirect.com/science/journal/0304405X>

is the on-campus link for Journal of Financial Economics. Off-campus, you can use

<http://www.sciencedirect.com.proxy.libraries.rutgers.edu/science/journal/0304405X>

Most of the time that works. If not, it's usually due to the way the publisher configures the website, and you can look the title up in the Libraries catalog to get the full link.

I do not expect you to read every paper in detail. I strongly encourage you to read starred (*) papers. I recommend that you read the abstract and introduction to every paper and then choose a few papers to then read in detail. Lectures will not cover every paper, it will focus on a few papers from each section.

General References: (not part of the reading list)

- Very good graduate level texts include:
 - A. Atkinson and J. Stiglitz, *Lectures in Public Economics*, McGraw-Hill, 1980. Unfortunately this book is now out of print.
 - G. Myles, *Public Economics*, New York: Cambridge University Press, 1995.
 - B. Salanié, *Economics of Taxation*, Cambridge: MIT Press, 2002.
 - L. Kaplow, *The Theory of Taxation and Public Economics*, Princeton University Press, 2008.
- An important source of survey articles is:
 - Various editors, *Handbook of Public Economics*, volumes 1-5, North-Holland.
- Other sources of review articles include:
 - J. Mirrlees et al., eds., *Dimensions of Tax Design: The Mirrlees Review*, Oxford University Press, 2010. <http://www.ifs.org.uk/mirrleesReview/dimensions>
 - A. Auerbach and K. Smetters, eds., *The Economics of Tax Policy*, Oxford University Press, 2017.

- Nice sets of graduate public economics lecture slides are available for some topics:
 - Alan Auerbach [[link](#)]
 - Raj Chetty [[link](#)]
 - Amy Finkelstein [[link](#)]
 - Nathaniel Hendren [[link](#)]
 - Emmanuel Saez [[link](#)]
 - Stefanie Stantcheva [[link](#)]
 - Danny Yagan [[link](#)]
 - Gabriel Zucman [[link](#)]

The reading list for this course starts below:

PART I: SOCIAL INSURANCE

1. Motivations for government intervention

Diamond, P. (2004). Social Security. American Economic Review, 94(1):1–24

Feldstein, M. (2005). Rethinking Social Insurance. American Economic Review, 95(1):1–24

Chetty, R. and Finkelstein, A. (2013). Chapter 3 - Social Insurance: Connecting Theory to Data. In Auerbach, A. J., Chetty, R., Feldstein, M., and Saez, E., editors, Handbook of Public Economics, volume 5 of handbook of public economics, vol. 5, pages 111–193. Elsevier

2. Asymmetric information in insurance markets

2.a. Theory

Akerlof, G. A. (1970). The Market for "Lemons": Quality Uncertainty and the Market Mechanism. The Quarterly Journal of Economics, 84(3):488–500. Publisher: Oxford University Press

Rothschild, M. and Stiglitz, J. (1976). Equilibrium in Competitive Insurance Markets: An Essay on the Economics of Imperfect Information. The Quarterly Journal of Economics, 90(4):629–649. Publisher: Oxford University Press

*Einav, L. and Finkelstein, A. (2011). Selection in Insurance Markets: Theory and Empirics in Pictures. Journal of Economic Perspectives, 25(1):115–138

2.b. Testing for adverse selection

Chiappori, P. and Salanie, B. (2000). Testing for Asymmetric Information in Insurance Markets. Journal of Political Economy, 108(1):56–78. Publisher: The University of Chicago Press

Finkelstein, A. and Poterba, J. (2004). Adverse Selection in Insurance Markets: Policyholder Evidence from the U.K. Annuity Market. Journal of Political Economy, 112(1):183–208. Publisher: The University of Chicago Press

Finkelstein, A. and Poterba, J. (2006). Testing for Adverse Selection with "Unused Observables"

*Finkelstein, A. and McGarry, K. (2006). Multiple Dimensions of Private Information: Evidence from the Long-Term Care Insurance Market. American Economic Review, 96(4):938–958

†Fang, H., Keane, M., and Silverman, D. (2008). Sources of Advantageous Selection: Evidence from the Medigap Insurance Market. Journal of Political Economy, 116(2):303–350. Publisher: The University of Chicago Press

*Karlan, D. and Zinman, J. (2009). Observing Unobservables: Identifying Information Asymmetries with a Consumer Credit Field Experiment. Econometrica, 77(6):1993–2008. Publisher: [Wiley, The Econometric Society]

†Panhans, M. (2019). Adverse Selection in ACA Exchange Markets: Evidence from Colorado. American Economic Journal: Applied Economics, 11(2):1–36

Wagner, K. R. H. (2022). Adaptation and Adverse Selection in Markets for Natural Disaster Insurance. American Economic Journal: Economic Policy, 14(3):380–421

Shepard, M. (2022). Hospital Network Competition and Adverse Selection: Evidence from the Massachusetts Health Insurance Exchange. American Economic Review, 112(2):578–615

†Fischer, T., Frölich, M., and Landmann, A. (2023). Adverse Selection in Low-Income Health Insurance Markets: Evidence from an RCT in Pakistan. American Economic Journal: Applied Economics, 15(3):313–340

2.c. Welfare analysis

Cohen, A. and Einav, L. (2007). Estimating Risk Preferences from Deductible Choice. American Economic Review, 97(3):745–788

Einav, L., Finkelstein, A., and Levin, J. (2010b). Beyond Testing: Empirical Models of Insurance Markets. Annual Review of Economics, 2(1):311–336

Einav, L., Finkelstein, A., and Cullen, M. R. (2010a). Estimating Welfare in Insurance Markets Using Variation in Prices. The Quarterly Journal of Economics, 125(3):877–921

*Einav, L., Finkelstein, A., and Schrimpf, P. (2010c). Optimal Mandates and the Welfare Cost of Asymmetric Information: Evidence From the U.K. Annuity Market. Econometrica, 78(3):1031–1092. [_eprint: https://onlinelibrary.wiley.com/doi/pdf/10.3982/ECTA7245](https://onlinelibrary.wiley.com/doi/pdf/10.3982/ECTA7245)

Finkelstein, A., Hendren, N., and Shepard, M. (2019). Subsidizing Health Insurance for Low-Income Adults: Evidence from Massachusetts. American Economic Review, 109(4):1530–1567

Landais, C., Nekoei, A., Nilsson, P., Seim, D., and Spinnewijn, J. (2021). Risk-Based Selection in Unemployment Insurance: Evidence and Implications. American Economic Review, 111(4):1315–1355

†Cabral, M., Cui, C., and Dworsky, M. (2022). The Demand for Insurance and Rationale for a Mandate: Evidence from Workers' Compensation Insurance. American Economic Review, 112(5):1621–1668

2.d. Welfare analysis: further considerations

Abaluck, J. and Gruber, J. (2011). Choice Inconsistencies among the Elderly: Evidence from Plan Choice in the Medicare Part D Program. American Economic Review, 101(4):1180–1210

*Handel, B. R. (2013). Adverse Selection and Inertia in Health Insurance Markets: When Nudging Hurts. American Economic Review, 103(7):2643–2682

*Hendren, N. (2013). Private Information and Insurance Rejections. Econometrica, 81(5):1713–1762

Handel, B. R. and Kolstad, J. T. (2015). Health Insurance for "Humans": Information Frictions, Plan Choice, and Consumer Welfare. American Economic Review, 105(8):2449–2500

†Polyakova, M. (2016). Regulation of Insurance with Adverse Selection and Switching Costs: Evidence from Medicare Part D. American Economic Journal: Applied Economics, 8(3):165–195

Spinnewijn, J. (2017). Heterogeneity, Demand for Insurance, and Adverse Selection. American Economic Journal: Economic Policy, 9(1):308–343

Handel, B. R., Kolstad, J. T., and Spinnewijn, J. (2019). Information Frictions and Adverse Selection: Policy Interventions in Health Insurance Markets. The Review of Economics and Statistics, 101(2):326–340

*Hendren, N. (2021). Measuring Ex Ante Welfare in Insurance Markets. The Review of Economic Studies, 88(3):1193–1223

3. Optimal provision of social insurance

3.a. Theory

Baily, M. N. (1978). Some aspects of optimal unemployment insurance. Journal of Public Economics, 10(3):379–402

*Chetty, R. (2006). A general formula for the optimal level of social insurance. Journal of Public Economics, 90(10):1879–1901

Schmieder, J. F. and von Wachter, T. (2016). The Effects of Unemployment Insurance Benefits: New Evidence and Interpretation. Annual Review of Economics, 8(1):547–581. eprint: <https://doi.org/10.1146/annurev-economics-080614-115758>

Kolsrud, J., Landaïs, C., Nilsson, P., and Spinnewijn, J. (2018). The Optimal Timing of Unemployment Benefits: Theory and Evidence from Sweden. American Economic Review, 108(4-5):985–1033

3.b. Empirics: cost side (moral hazard)

Unemployment insurance:

Krueger, A. B. and Meyer, B. D. (2002). Chapter 33 Labor supply effects of social insurance. In Handbook of Public Economics, volume 4, pages 2327–2392. Elsevier

*Chetty, R. (2008). Moral Hazard versus Liquidity and Optimal Unemployment Insurance. Journal of Political Economy, 116(2):173–234. Publisher: The University of Chicago Press

Chetty, R. (2009). Sufficient Statistics for Welfare Analysis: A Bridge Between Structural and Reduced-Form Methods. Annual Review of Economics, 1(1):451–488

Schmieder, J. F., von Wachter, T., and Bender, S. (2012). The Effects of Extended Unemployment Insurance Over the Business Cycle: Evidence from Regression Discontinuity Estimates Over 20 Years *. The Quarterly Journal of Economics, 127(2):701–752

Landais, C. (2015). Assessing the Welfare Effects of Unemployment Benefits Using the Regression Kink Design. American Economic Journal: Economic Policy, 7(4):243–278

Health insurance:

*Aron-Dine, A., Einav, L., and Finkelstein, A. (2013). The RAND Health Insurance Experiment, Three Decades Later. Journal of Economic Perspectives, 27(1):197–222

Einav, L., Finkelstein, A., Ryan, S. P., Schrimpf, P., and Cullen, M. R. (2013). Selection on Moral Hazard in Health Insurance. American Economic Review, 103(1):178–219

†Aron-Dine, A., Einav, L., Finkelstein, A., and Cullen, M. (2015). Moral Hazard in Health Insurance: Do Dynamic Incentives Matter? The Review of Economics and Statistics, 97(4):725–741

*Einav, L., Finkelstein, A., and Schrimpf, P. (2015). The Response of Drug Expenditure to Non-linear Contract Design: Evidence from Medicare Part D *. The Quarterly Journal of Economics, 130(2):841–899

Einav, L., Finkelstein, A., and Schrimpf, P. (2017). Bunching at the kink: Implications for spending responses to health insurance contracts. Journal of Public Economics, 146:27–40

*Einav, L. and Finkelstein, A. (2018). Moral Hazard in Health Insurance: What We Know and How We Know It. Journal of the European Economic Association, 16(4):957–982

Einav, L., Finkelstein, A., Ji, Y., and Mahoney, N. (2022). Voluntary Regulation: Evidence from Medicare Payment Reform*. The Quarterly Journal of Economics, 137(1):565–618

Disability insurance:

†Maestas, N., Mullen, K. J., and Strand, A. (2013). Does Disability Insurance Receipt Discourage Work? Using Examiner Assignment to Estimate Causal Effects of SSDI Receipt. American Economic Review, 103(5):1797–1829

3.c. Empirics: benefits side

Gruber, J. (1994a). The Consumption Smoothing Benefits of Unemployment Insurance

Shimer, R. and Werning, I. (2007). Reservation Wages and Unemployment Insurance*. The Quarterly Journal of Economics, 122(3):1145–1185

*Hendren, N. (2017). Knowledge of Future Job Loss and Implications for Unemployment Insurance. American Economic Review, 107(7):1778–1823

†Ganong, P. and Noel, P. (2019). Consumer Spending during Unemployment: Positive and Normative Implications. American Economic Review, 109(7):2383–2424

†Gerard, F. and Naritomi, J. (2021). Job Displacement Insurance and (the Lack of) Consumption-Smoothing. American Economic Review, 111(3):899–942

*Landais, C. and Spinnewijn, J. (2021). The Value of Unemployment Insurance. The Review of Economic Studies, 88(6):3041–3085

PART II: REDISTRIBUTION

1. Welfare estimation and the marginal value of public funds

Hendren, N. (2016). The Policy Elasticity. Tax Policy and the Economy, 30(1):51–89. Publisher: The University of Chicago Press

Hendren, N. and Sprung-Keyser, B. (2020). A Unified Welfare Analysis of Government Policies. The Quarterly Journal of Economics, 135(3):1209–1318

Finkelstein, A. and Hendren, N. (2020). Welfare Analysis Meets Causal Inference. Journal of Economic Perspectives, 34(4):146–167

Hendren, N. and Sprung-Keyser, B. (2022). The Case for Using the MVPF in Empirical Welfare Analysis

2. Economics of welfare programs

2.a. Theory: Tagging and Targeting

Akerlof, G. A. (1978). The Economics of "Tagging" as Applied to the Optimal Income Tax, Welfare Programs, and Manpower Planning. The American Economic Review, 68(1):8–19. Publisher: American Economic Association

*Nichols, A. L. and Zeckhauser, R. J. (1982). Targeting Transfers through Restrictions on Recipients. The American Economic Review, 72(2):372–377. Publisher: American Economic Association

Waldinger, D. (2021). Targeting In-Kind Transfers through Market Design: A Revealed Preference Analysis of Public Housing Allocation. American Economic Review, 111(8):2660–2696

2.b. Cash vs in-kind transfers

*Coate, S., Johnson, S., and Zeckhauser, R. (1994). Pecuniary redistribution through in-kind programs. Journal of Public Economics, 55(1):19–40

*Currie, J. and Gahvari, F. (2008). Transfers in Cash and In-Kind: Theory Meets the Data. Journal of Economic Literature, 46(2):333–383

†Hoynes, H. W. and Schanzenbach, D. W. (2009). Consumption Responses to In-Kind Transfers: Evidence from the Introduction of the Food Stamp Program. American Economic Journal: Applied Economics, 1(4):109–139

Cunha, J. M., De Giorgi, G., and Jayachandran, S. (2019). The Price Effects of Cash Versus In-Kind Transfers. The Review of Economic Studies, 86(1):240–281

Lieber, E. M. J. and Lockwood, L. M. (2019). Targeting with In-Kind Transfers: Evidence from Medicaid Home Care. American Economic Review, 109(4):1461–1485

Gadenne, L., Norris, S., Singhal, M., and Sukhtankar, S. (2021). In-Kind Transfers as Insurance

[†]Jimenez Hernandez, D. and Seira, E. (2022). Should the Government Sell You Goods? Evidence from the Milk Market in Mexico

Liscow, Z. and Pershing, A. (2022). Why Is So Much Redistribution In-Kind and Not in Cash? Evidence from a Survey Experiment. National Tax Journal, 75(2):313–354. Publisher: The University of Chicago Press

Banerjee, A., Hanna, R., Olken, B. A., Satriawan, E., and Sumarto, S. (2023). Electronic Food Vouchers: Evidence from an At-Scale Experiment in Indonesia. American Economic Review, 113(2):514–547

Blanco, H. (2023). Pecuniary effects of public housing demolitions: Evidence from Chicago. Regional Science and Urban Economics, 98:103847

2.c Take-up of Welfare Programs

Kleven, H. J. and Kopczuk, W. (2011). Transfer Program Complexity and the Take-Up of Social Benefits. American Economic Journal: Economic Policy, 3(1):54–90

Bettinger, E. P., Long, B. T., Oreopoulos, P., and Sanbonmatsu, L. (2012). The Role of Application Assistance and Information in College Decisions: Results from the H&R Block Fafsa Experiment*. The Quarterly Journal of Economics, 127(3):1205–1242

Bhargava, S. and Manoli, D. (2015). Psychological Frictions and the Incomplete Take-Up of Social Benefits: Evidence from an IRS Field Experiment. American Economic Review, 105(11):3489–3529

*Alatas, V., Banerjee, A., Hanna, R., Olken, B. A., Purnamasari, R., and Wai-Poi, M. (2016). Self-Targeting: Evidence from a Field Experiment in Indonesia. Journal of Political Economy, 124(2):371–427. Publisher: The University of Chicago Press

*Deshpande, M. and Li, Y. (2019). Who Is Screened Out? Application Costs and the Targeting of Disability Programs. American Economic Journal: Economic Policy, 11(4):213–248

Finkelstein, A. and Notowidigdo, M. J. (2019). Take-Up and Targeting: Experimental Evidence from SNAP. The Quarterly Journal of Economics, 134(3):1505–1556

Ko, W. and Moffitt, R. A. (2020). Take-Up of Social Benefits. In Zimmermann, K. F., editor, Handbook of Labor, Human Resources and Population Economics, pages 1–43. Springer International Publishing, Cham

[†]Homonoff, T. and Somerville, J. (2021). Program Recertification Costs: Evidence from SNAP. American Economic Journal: Economic Policy, 13(4):271–298

Lachowska, M., Sorkin, I., and Woodbury, S. A. (2022). Firms and Unemployment Insurance Take-up

Anders, J. and Rafkin, C. (2022). The Welfare Effects of Eligibility Expansions: Theory and Evidence from SNAP

Ellen, I. G., O’Regan, K., and Stochak, S. (2024). Race, Space, and Take Up: Explaining housing voucher lease-up rates. Journal of Housing Economics, 63:101980

2.d. Choice of instrument

Public vs private provision:

Peltzman, S. (1973). The Effect of Government Subsidies-in-Kind on Private Expenditures: The Case of Higher Education. Journal of Political Economy, 81(1):1–27. Publisher: The University of Chicago Press

Cutler, D. M. and Gruber, J. (1996). Does Public Insurance Crowd out Private Insurance?*. The Quarterly Journal of Economics, 111(2):391–430

Hart, O., Shleifer, A., and Vishny, R. W. (1997). The Proper Scope of Government: Theory and an Application to Prisons. The Quarterly Journal of Economics, 112(4):1127–1161

Levin, J. and Tadelis, S. (2010). Contracting for Government Services: Theory and Evidence from U.s. Cities*. The Journal of Industrial Economics, 58(3):507–541

†Knutsson, D. and Tyrefors, B. (2022). The Quality and Efficiency of Public and Private Firms: Evidence from Ambulance Services*. The Quarterly Journal of Economics, 137(4):2213–2262

Mandated benefits:

*Summers, L. H. (1989). Some Simple Economics of Mandated Benefits. The American Economic Review, 79(2):177–183. Publisher: American Economic Association

Gruber, J. (1994b). The Incidence of Mandated Maternity Benefits. The American Economic Review, 84(3):622–641. Publisher: American Economic Association

Ruhm, C. J. (1998). The Economic Consequences of Parental Leave Mandates: Lessons from Europe*. The Quarterly Journal of Economics, 113(1):285–317

Cutler, D. M. and Madrian, B. C. (1998). Labor Market Responses to Rising Health Insurance Costs: Evidence on Hours Worked. The RAND Journal of Economics, 29(3):509–530. Publisher: [RAND Corporation, Wiley]

†Dahl, G. B., Løken, K. V., Mogstad, M., and Salvanes, K. V. (2016). What Is the Case for Paid Maternity Leave? The Review of Economics and Statistics, 98(4):655–670

PART III: ADDITIONAL TOPICS IN PUBLIC ECONOMICS

1. Place as a Tag: Neighborhood Effects

Theory/Review:

Akerlof, G. A. (1978). The Economics of "Tagging" as Applied to the Optimal Income Tax, Welfare Programs, and Manpower Planning. The American Economic Review, 68(1):8–19. Publisher: American Economic Association

*Chyn, E. and Katz, L. F. (2021). Neighborhoods Matter: Assessing the Evidence for Place Effects. Journal of Economic Perspectives, 35(4):197–222

Neighborhood effects:

Cutler, D. M. and Glaeser, E. L. (1997). Are Ghettos Good or Bad?*. The Quarterly Journal of Economics, 112(3):827–872

Kling, J. R., Liebman, J. B., and Katz, L. F. (2007). Experimental Analysis of Neighborhood Effects. Econometrica, 75(1):83–119. __eprint: <https://onlinelibrary.wiley.com/doi/pdf/10.1111/j.1468-0262.2007.00733.x>

Ludwig, J., Duncan, G. J., Gennetian, L. A., Katz, L. F., Kessler, R. C., Kling, J. R., and Sanbonmatsu, L. (2013). Long-Term Neighborhood Effects on Low-Income Families: Evidence from Moving to Opportunity. American Economic Review, 103(3):226–231

Chetty, R., Hendren, N., Kline, P., and Saez, E. (2014). Where is the land of Opportunity? The Geography of Intergenerational Mobility in the United States *. The Quarterly Journal of Economics, 129(4):1553–1623

Chetty, R., Friedman, J. N., Hendren, N., Jones, M. R., and Porter, S. R. (2018). The Opportunity Atlas: Mapping the Childhood Roots of Social Mobility

Chetty, R. and Hendren, N. (2018b). The Impacts of Neighborhoods on Intergenerational Mobility II: County-Level Estimates. The Quarterly Journal of Economics, 133(3):1163–1228

Chetty, R. and Hendren, N. (2018a). The Impacts of Neighborhoods on Intergenerational Mobility I: Childhood Exposure Effects*. The Quarterly Journal of Economics, 133(3):1107–1162

Chyn, E. (2018). Moved to Opportunity: The Long-Run Effects of Public Housing Demolition on Children. American Economic Review, 108(10):3028–3056

[†]Finkelstein, A., Gentzkow, M., and Williams, H. (2021). Place-Based Drivers of Mortality: Evidence from Migration. American Economic Review, 111(8):2697–2735

[†]Chyn, E., Haggag, K., and Stuart, B. A. (2022). The Effects of Racial Segregation on Intergenerational Mobility: Evidence from Historical Railroad Placement

2. Place-based policies

Tiebout, C. M. (1956). A Pure Theory of Local Expenditures. Journal of Political Economy, 64(5):416–424. Publisher: The University of Chicago Press

Roback, J. (1982). Wages, Rents, and the Quality of Life. Journal of Political Economy, 90(6):1257–1278. Publisher: The University of Chicago Press

*Kline, P. and Moretti, E. (2014). People, Places, and Public Policy: Some Simple Welfare Economics of Local Economic Development Programs. Annual Review of Economics, 6(1):629–662. __eprint: <https://doi.org/10.1146/annurev-economics-080213-041024>

Diamond, R. (2016). The Determinants and Welfare Implications of US Workers’ Diverging Location Choices by Skill: 1980–2000. American Economic Review, 106(3):479–524

Suárez Serrato, J. C. and Zidar, O. (2016). Who Benefits from State Corporate Tax Cuts? A Local Labor Markets Approach with Heterogeneous Firms. American Economic Review, 106(9):2582–2624

Housing Policies:

Sinai, T. and Waldfofel, J. (2005). Do low-income housing subsidies increase the occupied housing stock? Journal of Public Economics, 89(11):2137–2164

[†]Autor, D. H., Palmer, C. J., and Pathak, P. A. (2014). Housing Market Spillovers: Evidence from the End of Rent Control in Cambridge, Massachusetts. Journal of Political Economy, 122(3):661–717. Publisher: The University of Chicago Press

*Diamond, R., McQuade, T., and Qian, F. (2019). The Effects of Rent Control Expansion on Tenants, Landlords, and Inequality: Evidence from San Francisco. American Economic Review, 109(9):3365–3394

Diamond, R. and McQuade, T. (2019). Who Wants Affordable Housing in Their Backyard? An Equilibrium Analysis of Low-Income Property Development. Journal of Political Economy, 127(3):1063–1117. Publisher: The University of Chicago Press

*Bergman, P., Chetty, R., DeLuca, S., Hendren, N., Katz, L. F., and Palmer, C. (2019). Creating Moves to Opportunity: Experimental Evidence on Barriers to Neighborhood Choice

Blanco, H. and Neri, L. (2023). Knocking it Down and Mixing it Up: The Impact of Public Housing Regenerations